

Employing in Canada

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts under the applicable provincial Employment Standards Act (or the Canada Labour Code for federally regulated industries)
- **Monthly payroll** — salary payments in CAD, itemised payslips (T4 reporting)
- **Tax withholding** — federal and provincial income tax withheld and remitted to the CRA
- **CPP & EI** — Canada Pension Plan and Employment Insurance contributions (QPP/QPIP in Quebec)
- **Leave and termination management** — notice periods, entitlements and severance guidance by province

Employment Conditions

Contracts & Probation

Employment standards in Canada are set provincially (each of the 10 provinces and 3 territories has its own Employment Standards Act) except for federally regulated sectors (banking, telecom, interprovincial transport, airlines), which follow the Canada Labour Code. There is no universal statutory probation period, but 3 months is common practice and aligns with the point at which ESA termination notice obligations typically begin.

Item	Detail	Legal Basis
Governing framework	Provincial Employment Standards Act (most employees) or Canada Labour Code (federally regulated)	Varies by province/sector
Probation period	No universal statutory requirement; 3 months typical, ESA notice obligations often begin after 3 months'	Employer discretion / provincial ESA
Written contract	Strongly recommended; must not undercut ESA minimums (unenforceable if it does)	Provincial ESA

Working Hours & Overtime

Standard hours and overtime thresholds vary by province. Ontario's Employment Standards Act is used below as a representative example — always confirm the specific province of employment.

Rule	Detail (Ontario example)	Authority
Standard hours	8 hours/day, 44 hours/week before overtime applies	Ontario ESA, 2000
Overtime premium	150% of regular rate beyond 44 hours/week	Ontario ESA, 2000
Federally regulated employees	Standard 8 hrs/day, 40 hrs/week; overtime at 150%	Canada Labour Code

Minimum Wage & Statutory On-Costs (2026)

Minimum wage is set independently by each province/territory and adjusted at different times of year (often 1 April or 1 October). CPP, CPP2 and EI are federal (Quebec runs its own QPP/QPIP).

Measure	Rate	Notes
Ontario minimum wage	CAD 17.60/hour (2025 rate; 2026 increase pending)	Set 1 October each year
British Columbia minimum wage	CAD 17.85/hour	Set 1 June each year
Nova Scotia minimum wage	CAD 16.75 (Apr 2026), rising to CAD 17.00 (Oct 2026)	Two increases scheduled in 2026
CPP1 (employer)	5.95% on earnings CAD 3,500-74,600	Matches employee contribution dollar-for-dollar
CPP2 (employer)	4% on earnings CAD 74,600-85,000	Second-tier enhancement, phased in since 2024
EI (employer)	1.4x the employee rate (employee rate 1.63% up to CAD 68,900)	Lower rate applies in Quebec (QPIP replaces part of EI)

Leave Entitlements (Ontario example)

Leave Type	Entitlement	Who Pays	Key Condition
Vacation	2 weeks/year (3 weeks after 5 years)	Employer (4%-6% vacation pay)	Accrues from day one of employment
Public Holidays	9 statutory holidays/year (Ontario)	Employer	Varies by province — Ontario is the only province to statutorily recognise Boxing Day
Sick Leave	3 unpaid days/year (job-protected)	Unpaid unless employer policy provides pay	Provincial minimum; many employers offer paid sick leave contractually
Parental/Maternity Leave	Up to 78 weeks combined (pregnancy + parental), job-protected	Unpaid; EI Maternity/Parental Benefits provide partial income replacement	Job protection is provincial; EI benefits are federal

Payroll, Tax & Contributions

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%

CPP1 employer contribution (5.95%)	\$178.50	5.95%
EI employer premium (~2.28%, 1.4x employee rate)	\$68.40	2.28%
EOR service fee (HeroForce, Tier 2)	\$600.00	20.00%
Estimated total monthly cost	~\$3,846.90	~128.2%

HeroForce EOR service fee shown at USD \$600 per employee per month (Tier 2 pricing), no setup fee. CPP2 is excluded from this illustrative example as it only applies to earnings above the CAD 74,600 first-tier ceiling. Provincial payroll taxes (e.g. Ontario EHT, BC EHT) and workers' compensation premiums vary by province/industry and are excluded. Employee deductions (withheld separately) include CPP, EI and federal + provincial income tax.

Income Tax (Federal, 2026)

Employees pay federal tax plus provincial/territorial tax on top (Quebec residents file separately with Revenu Québec). The federal Basic Personal Amount for 2026 is CAD 16,452, and the lowest federal bracket rate was cut from 15% to 14% for 2026.

Federal Taxable Income (CAD)	Rate
Up to ~\$58,500	14%
~\$58,500 - \$117,000	20.5%
~\$117,000 - \$161,600	26%
~\$161,600 - \$230,400	29%
Above ~\$230,400	33%

Provincial/territorial tax is charged on top of federal tax at rates that vary widely — combined top marginal rates range from ~48% (Alberta) to over 53% (Ontario, BC, Quebec).

Termination & Separation (Ontario example)

Notice & Termination Pay

Length of Service	Minimum Notice/Pay in Lieu	Key Rule
Under 3 months	None required	Ontario ESA
3 months - 1 year	1 week	Ontario ESA
1-8 years	1 week per year of service	Ontario ESA
8+ years	8 weeks (statutory maximum)	Ontario ESA

Severance Pay (separate from termination notice)

A separate severance pay entitlement applies on top of termination notice/pay in Ontario for qualifying long-service employees.

Condition	Entitlement
5+ years' service, AND employer payroll ≥ CAD 2.5M (or 50+ employees terminated within 6 months)	1 week's pay per year of service, capped at 26 weeks

★ HERO TIP

Canada does not have "at-will" employment — the ESA/Canada Labour Code minimums above are only a floor. Common law "reasonable notice" (which courts can extend well beyond the statutory minimum, sometimes to 24 months for long-serving senior employees) frequently applies unless a properly drafted, enforceable termination clause is in the contract. Always have Canadian termination clauses reviewed against the specific province before relying on the ESA minimums alone.

Public Holidays 2026 (Federal — Illustrative)

Canada has no single national holiday list — each province sets its own statutory holidays (typically 8-10), and federally regulated employees follow a separate federal list. Ontario's 9 statutory holidays are shown below as a reference; always confirm the specific province.

Date	Holiday	Type
1 January	New Year's Day	Statutory (all provinces)
3 April	Good Friday	Statutory (most provinces)
18 May	Victoria Day	Statutory (most provinces except Atlantic Canada)
1 July	Canada Day	Statutory (all provinces)
7 September	Labour Day	Statutory (all provinces)
12 October	Thanksgiving	Statutory (most provinces except Atlantic Canada)
25 December	Christmas Day	Statutory (all provinces)
26 December	Boxing Day	Statutory in Ontario only

Family Day (mid-February, most provinces), Remembrance Day (federal and several provinces), Civic Holiday (early August, optional in most provinces) and National Day for Truth and Reconciliation (30 September, federal and some provinces) are common additions not universally recognised. Always confirm against the specific province of employment.

Ready to hire in Canada?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Canada employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$600** per employee per month, no setup fee (Tier 2).